EICHER MOTORS LTD

NSE: EICHERMOT · BSE: 505200 · Motorcycles (Royal Enfield) and commercial vehicles (VECV, 54.4% JV with Volvo Group per AR FY26)
Initiation of coverage · 22 October 2026 · prices as of 21-Oct-26 (Screener, 11:13 IST)

RATING
HOLD
model-based, medium conviction

CMP
₹7,188
12M TARGET (BLEND)
₹6,700

PRICE UPSIDE / DIV. YIELD
-6.8% / 1.1%
12M TOTAL RETURN
-5.6%

Key data	
Market cap	₹197,300 cr
Shares	27.45 cr
52-wk high / low (Screener)	₹8,233 / ₹6,439
P/E trailing (derived)	34.2x
Price / book (derived)	7.9x (BV ₹914)
ROE / ROCE FY26	22% / 30%
Dividend FY26	₹82/sh (1.1% yield)
Cash & investments Mar-26	₹19,091 cr; borrowings ₹514 cr
Q2 FY27 results	date not in our sources

₹ crore (consolidated)	FY24	FY25	FY26	FY27E	FY28E	FY29E
Volume (m units)	0.91	1.00	1.23	1.44	1.62	1.78
Net sales	16,536	18,870	23,408	28,656	33,044	37,215
Operating EBITDA	4,329	4,723	5,789	6,820	7,997	9,118
EBITDA margin	26.2%	25.0%	24.7%	23.8%	24.2%	24.5%
Net profit	4,001	4,734	5,515	6,145	7,033	7,920
EPS (₹)	146.1	172.7	201.1	223.9	256.2	288.5
P/E at CMP (x)	49.2	41.6	35.7	32.1	28.1	24.9
Dividend (₹ cr)	1,396	1,919	2,249	–	–	–

FY24–FY26 reported (Screener, consolidated); FY27E–FY29E our estimates. Operating EBITDA = Screener "operating profit"; excludes other income (treasury and the share of VECV profit).

BUSINESS

Eicher owns Royal Enfield (RE), leader in India's mid-size motorcycle segment (86.8% share of 250cc+; 31.3% of >125cc; 8.4% of all motorcycles in FY26), and 54.4% of VECV, a commercial-vehicle JV with Volvo Group. FY26: RE sold 1,227,977 motorcycles (1,107,343 India; 120,634 international); revenue ₹23,408 cr (domestic ₹16,768 cr, international ₹3,288 cr, allied ₹3,351 cr); PAT ₹5,515 cr; ROCE 30%. Q1 FY27: record 332,940 units, sales ₹6,632 cr (+32%), PAT ₹1,463 cr (+21%).

INVESTMENT VIEW

- **Quality franchise.** FY21–FY26 sales CAGR 21.8%, profit 32.6%; ₹19,091 cr cash; payout 41%.
- **Supply-led growth.** Build capacity ~1.5m (Jul-26), 2.0m Cheyyar by FY28, 2.45m with Tada by FY30; dealer stock 10–12 days (Q1 FY27 call).
- **Margin is the swing factor.** Q1 FY27 margin 24.0% (Q4 FY26 24.9%) after a 4–4.5% net commodity hit; depreciation +40% YoY.
- **Valuation.** DCF ₹5,114 today / ₹5,697 12M; 30x FY28E EPS ₹256.2 = ₹7,686; blend ₹6,692 → target **₹6,700** (-6.8%; total return -5.6%) → Hold. Price needs WACC ~9.4% (we use 11.4%) on base cash flows.
- **Earnings mix.** ~31% of FY26 PBT is treasury and VECV (our decomposition).

KEY RISKS

- Commodity inflation (aluminium, steel, crude, precious metals); no margin guidance.
- Capacity delays; Tada needed for FY30E–FY31E volume.
- High base from Sep–Oct 2026; international weakness (Q1 intl volume −2.4%).
- Valuation: 34x trailing P/E; 5-yr avg 32.2x.

CATALYSTS

- Q2 FY27 results (margin vs 24.0%; depreciation).
- Second Cheyyar module (Oct-26); festive-season wholesale.
- Indonesia CKD decision; Flying Flea city roll-out; Volvo Financial JV (up to ₹750 cr).

SCENARIOS (OUR DCF AND BLEND)

Our assumptions	Bear	Base	Bull
FY31E volume (m)	1.62	2.09	2.37
FY28E EPS (₹)	198	256	294
Steady-state EBITDA margin	22.0%	24.5%	26.0%
DCF today (₹)	3,581	5,114	6,252
DCF 12M (₹)	3,990	5,697	6,965
Blend with 30x FY28E EPS (₹)	**4,958**	**6,692**	**7,890**
vs CMP	-31%	-7%	+10%

LATEST RESULTS

Q1 FY27 (Jun-26, consolidated)	Figure
Volume (India / international)	332,940 (+27.4%) / 301,174 / 31,766
Net sales	₹6,632 cr (+31.5%)
EBITDA / margin	₹1,591 cr (+32.2%) / 24.0%
Net profit / EPS	₹1,463 cr (+21.3%) / ₹53.28
VECV Q1 FY27 PAT / units	₹300 cr / 24,815 (+14.8%)

RATING BANDS

12M total return = price return + dividend yield: Buy > +15%; Hold −10% to +15%; Sell < −10%. Buy level ≈ ₹5,897; Sell level ≈ ₹7,536. Target = 50% DCF 12M + 50% 30x FY28E EPS, rounded to ₹50.

Sources: Screener export and screenshots (21-Oct-26); Eicher Integrated Annual Reports FY24–FY26; concall transcripts Q2 FY26–Q1 FY27 (Nov-25 to Jul-26); Trading Economics (10-yr G-sec 7.18%). Estimates, beta (0.85), equity risk premium (5.0%), terminal growth (5.5%), VECV multiple (20x) and target multiple (30x) are our assumptions. Virtual portfolio holding of 1,000 shares at ₹7,266.00 is notional. AI-assisted analysis; not investment advice; not reviewed by a registered analyst. See the detailed report, Appendix G.